

Disclosure Statement at 31 December 2025

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the Insurance (Public Disclosure) Rules.

1 Company profile

(a) Authorized insurer's name

Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)

(b) Nature of the business, and places of business operations

Munich Reinsurance Company Hong Kong Branch ("MRHK") is authorised to write both long term and general reinsurance business. The Branch provides life, health and non-life reinsurance solutions, mainly serving clients in Hong Kong, Macau and Taiwan.

There were no material changes to the Branch's business nature, scope or geographical coverage during the reporting year.

(c) Description of corporate structure

Munich Reinsurance Company Hong Kong Branch ("MRHK") is a branch of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company) ("MRM"), headquartered in Munich, Germany. MRM is part of the Munich Re Group, a leading global provider of reinsurance, primary insurance and asset management services with operations across numerous jurisdictions.

MRM is subject to prudential supervision by the German Federal Financial Supervisory Authority (BaFin), while MRHK is regulated by the Hong Kong Insurance Authority (IA).

2 Corporate governance framework

As a Hong Kong branch of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company), MRHK is regulated by the Hong Kong Insurance Authority (IA) and complies with applicable laws, regulations and regulatory requirements, including those relating to insurance operations and data protection.

Governance oversight is provided through the Executive Committee (EC), which comprises senior representatives from key business and control functions, including business, actuarial, finance, risk management, compliance, human resources and internal audit. The EC meets quarterly to review business performance, risk exposures, strategic initiatives and regulatory developments.

The governance framework is supported by a comprehensive suite of internal policies, procedures and operational guidelines, which promote effective decision-making, sound internal controls and the prudent management of the Branch's activities.

3 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 December 2025			As at 31 December 2024		
	Total	Long term business	General business	Total	Long term business	General business
Total assets	3,642,323	520,530	3,121,793	2,896,904	460,698	2,436,206
Cash and deposits	795,729	268,729	527,000	917,923	301,814	616,109
Debt securities	1,443,952	-	1,443,952	898,681	-	898,681
Other financial assets	838,883	142,117	696,766	752,057	82,942	669,115
Reinsurance assets	427,819	11,660	416,159	266,045	14,191	251,854
Tax assets	50,141	22,511	27,630	17,109	16,947	162
Other assets	85,799	75,513	10,286	45,089	44,804	285
Total liabilities	2,108,734	(187,427)	2,296,161	1,584,433	(239,669)	1,824,102
Insurance liabilities	1,785,072	(322,364)	2,107,436	1,321,753	(360,614)	1,682,367
Reinsurance liabilities	868	868	-	983	983	-
Other financial liabilities	195,071	73,640	121,431	214,406	106,020	108,386
Tax liabilities	82,256	25,215	57,041	32,687	-	32,687
Other liabilities	45,467	35,214	10,253	14,604	13,942	662
Net assets	1,533,589	707,957	825,632	1,312,471	700,367	612,104

(b) Material change or other commentary on balance sheet items (if any)

Net assets increased year-on-year as growth in invested assets, mainly debt securities, exceeded the rise in liabilities.

4 Investments

(a) Assumptions and methods used for valuation of investments

Investments primarily comprise debt securities measured at fair value and held to support insurance and reinsurance liabilities. Investment valuations are based on observable market information whenever available. Debt securities are classified within Level 1 of the fair value hierarchy and are valued using quoted prices in active markets for identical instruments. Where third-party pricing information is utilised, the appropriateness of such valuations is assessed and documented to ensure compliance with applicable financial reporting standards.

The principal assumption underlying the valuation of investments is that market prices obtained from active and orderly markets are representative of fair value as at the reporting date. For instruments for which market prices are not readily observable, valuations are determined using observable market inputs, including yield curves, credit spreads, and other relevant market data, in accordance with the fair value hierarchy framework. Valuation inputs are categorised according to their observability, with preference given to observable market data and minimal reliance placed on unobservable assumptions.

(b) Material change in assumptions and methods, or other commentary on investments (if any)

No material changes were made during the reporting year to the assumptions and valuation methodologies applied to investments.

5 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 December 2025		
	Hong Kong branches of non-HK insurers: all long term business of Hong Kong branches, other than fund of reinsurance business with offshore risk if established	Applicable to Hong Kong branches of non-HK insurers: reinsurance business with offshore risk if fund of reinsurance business with offshore risk is established	Total long term business
	Other long term business		
Total insurance liabilities (gross of reinsurance)	<i>(68,521)</i>	<i>(253,843)</i>	<i>(322,364)</i>
Of which: long term insurance liabilities	<i>(68,521)</i>	<i>(253,843)</i>	<i>(322,364)</i>
Outstanding claims	<i>105,535</i>	<i>21,849</i>	<i>127,384</i>
Current estimate ²	<i>(241,655)</i>	<i>(286,298)</i>	<i>(527,953)</i>
Margin over current estimate	<i>67,599</i>	<i>10,606</i>	<i>78,205</i>
Prepaid premiums	-	-	-
Other long term insurance liabilities	-	-	-
Of which: general insurance liabilities	-	-	-
Reinsurance assets	<i>11,660</i>	-	<i>11,660</i>
Reinsurance liabilities	-	<i>868</i>	<i>868</i>

² Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

(Unit: in HKD thousands)	As at 31 December 2024		
	Hong Kong branches of non-HK insurers: all long term business of Hong Kong branches, other than fund of reinsurance business with offshore risk if established	Applicable to Hong Kong branches of non-HK insurers: reinsurance business with offshore risk if fund of reinsurance business with offshore risk is established	Total long term business
	Other long term business		
Total insurance liabilities (<u>gross of reinsurance</u>)	(103,530)	(257,084)	(360,614)
Of which: long term insurance liabilities	(103,530)	(257,084)	(360,614)
Outstanding claims	49,073	17,351	66,424
Current estimate ¹	(198,501)	(284,575)	(483,076)
Margin over current estimate	45,898	10,140	56,038
Prepaid premiums	-	-	-
Other long term insurance liabilities	-	-	-
Of which: general insurance liabilities	-	-	-
Reinsurance assets	14,191	-	14,191
Reinsurance liabilities	-	983	983

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

Insurance Liabilities of General Business

(Unit: in HKD thousands)	As at 31 December 2025		
	Reinsurance		Total general business
	Proportional	Non-proportional	
Total general insurance liabilities (<u>gross</u> of reinsurance)	<i>Not applicable</i>	<i>Not applicable</i>	<i>2,107,436</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>gross</u> of reinsurance)	<i>1,482,329</i>	<i>625,107</i>	<i>2,107,436</i>
Outstanding claims liabilities	<i>1,066,262</i>	<i>608,659</i>	<i>1,674,921</i>
Premium liabilities	<i>335,095</i>	<i>(2,834)</i>	<i>332,261</i>
Margin over current estimate for outstanding claims liabilities	<i>52,602</i>	<i>15,600</i>	<i>68,203</i>
Margin over current estimate for premium liabilities	<i>28,369</i>	<i>3,682</i>	<i>32,051</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>net</u> of reinsurance)	<i>1,294,696</i>	<i>396,581</i>	<i>1,691,277</i>

(Unit: in HKD thousands)	As at 31 December 2024		
	Reinsurance		Total general business
	Proportional	Non-proportional	
Total general insurance liabilities (<u>gross</u> of reinsurance)	<i>Not applicable</i>	<i>Not applicable</i>	<i>1,682,367</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>gross</u> of reinsurance)	<i>1,202,924</i>	<i>479,443</i>	<i>1,682,367</i>
Outstanding claims liabilities	<i>813,591</i>	<i>412,952</i>	<i>1,226,543</i>
Premium liabilities	<i>312,208</i>	<i>47,037</i>	<i>359,245</i>
Margin over current estimate for outstanding claims liabilities	<i>51,638</i>	<i>15,094</i>	<i>66,732</i>
Margin over current estimate for premium liabilities	<i>25,486</i>	<i>4,360</i>	<i>29,847</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>net</u> of reinsurance)	<i>1,036,451</i>	<i>394,062</i>	<i>1,430,513</i>

(b) Assumptions and method used to derive the assumptions for determining insurance liabilities

Long Term Business : The valuation is based on a combination of specific experience, pricing and future outlook assumptions, together with regulatory-prescribed discount rates, to ensure reserves remain appropriate and supportable.

- Key assumptions comprise incidence rates, lapse rates, expense assumptions, and discount rates.
- Incidence rate assumptions cover mortality, morbidity, accidental death, medical, and health compensation risks across different long-term business lines.
- Non-economic assumptions are derived based on MRHK's experience studies, pricing assumptions, expected future developments, and other relevant factors, supported by appropriate evidence of reasonableness.
- Discount rates applied at each valuation date are consistent with the Hong Kong Insurance Authority's prescribed rates.

General Business : The valuation is based on established actuarial methodologies, incorporating historical claims experience, expert judgement, discounting for the time value of money, and appropriate margins for uncertainty.

- Claim Liabilities : Claim liabilities are estimated using established actuarial methods, primarily the Chain-Ladder and Additive techniques applied to run-off triangles. Historical claims experience, including inflation impacts, is reflected in the projections. Final assumptions are reviewed against underwriting insights, portfolio developments, and market conditions.
- Premium Liabilities : Unexpired Risk Reserves (URR) are estimated by applying Expected Loss Ratios (ELRs) to Unearned Premium Reserves (UPR), with allowance for policy maintenance expenses.
- Discounting : Claim liabilities and unexpired risk reserves are discounted using the prescribed year-end risk-free yield curve. Payment patterns are based on historical claims experience, with future payments assumed to occur mid-year on average.
- Risk Margin : Risk margins are determined using historical claims data and a log-normal distribution, based on the difference between the 75th percentile and the best estimate. An additional 40% loading is applied to the URR risk margin to reflect the greater uncertainty associated with unexpired risks.

(c) Material change in assumptions and methods used to derive the assumptions, or other commentary on insurance liabilities (if any)

Long Term Business:

- Claims-related assumptions: Selected claims assumptions for certain treaties were updated based on the latest claims experience.
- Discounting: There has been no change to the discounting methodology compared with the previous year. The risk-free yield curve has been updated to reflect year-end market conditions.

- **Margin Over Current Estimate (MOCE) :** The MOCE was recalculated using the latest Prescribed Capital Requirement (PCR) results

General Business: The valuation remains largely consistent with the prior year, with no material changes to key assumptions or methodologies, other than the impact of the Tai Po fire losses on the Fire and Liability portfolios.

- **Ultimate Loss Ratio (ULR) :** ULR estimates are broadly consistent with the prior year-end valuation. The only notable change relates to Tai Po fire losses, impacting the Fire and Liability portfolios.
- **Discounting :** No changes have been made to the discounting methodology. The risk-free yield curve has been updated to reflect current year-end market conditions.
- **Risk Margin :** The risk margin has been recalculated using updated data and claims development triangles. No material change in the risk margin was observed.

6 Financial performance

- (a) Financial performance in total and at a segmented level, including premiums, investment returns and claims

Performance Analysis on Premiums and Claims

(Unit: in HKD thousands)	For the financial year ended 31 December 2025		
	Total	Long term business	General business
Gross premiums¹	1,559,712	440,727	1,118,985
Regular premiums	Not applicable	440,727	Not applicable
Single premiums	Not applicable	-	Not applicable
Net premiums	1,426,205	412,278	1,013,927
Regular premiums	Not applicable	412,278	Not applicable
Single premiums	Not applicable	-	Not applicable
Gross claims paid	672,407	256,043	416,364
Net claims paid	625,087	242,347	382,740

Performance Analysis on Investment Returns

(Unit: in HKD thousands)	For the financial year ended 31 December 2025		
	Total	Long term business	General business
Investment returns	73,928	9,748	64,180

¹ For long term business, it refers to premiums received and receivable during the financial year. For general business, it refers to written premiums.

(b) Underwriting Results for general business (for pricing adequacy disclosure purposes)

Underwriting Results of General Business

(Unit: in HKD thousands)	For the financial year ended 31 December 2025		
	Reinsurance		Total general business
	Proportional	Non-proportional	
Gross premium	873,341	245,644	1,118,985
Net premium	810,981	202,947	1,013,927
Net undiscounted best estimate combined business results, relating to current year	37,219	67,283	104,502
Net undiscounted best estimate combined business results, relating to prior year	10,846	52,108	62,954
Undiscounted underwriting results - profit / (loss)	44,219	119,563	163,782

7 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 December 2025	As at 31 December 2024
Market risk (diversified RCA)	<i>80,449</i>	<i>24,707</i>
Interest rate risk RCA	<i>72,855</i>	<i>20,895</i>
Credit spread risk RCA	-	-
Equity risk RCA	-	-
Property risk RCA	-	-
Currency risk RCA	<i>20,463</i>	<i>8,959</i>
Diversification benefits within market risk	<i>(12,869)</i>	<i>(5,146)</i>
Life Insurance Risk (diversified RCA)	<i>323,746</i>	<i>290,897</i>
Mortality risk RCA	<i>57,650</i>	<i>42,017</i>
Longevity risk RCA	-	-
Life catastrophe risk RCA	<i>96,497</i>	<i>153,512</i>
Morbidity risk RCA	<i>217,461</i>	<i>145,018</i>
Expense risk RCA	<i>13,211</i>	<i>9,804</i>
Lapse risk RCA	<i>118,345</i>	<i>99,034</i>
Diversification benefits within life insurance risk	<i>(179,419)</i>	<i>(158,489)</i>
General Insurance Risk (diversified RCA)	<i>165,331</i>	<i>132,869</i>
Reserve and premium risk RCA	<i>141,096</i>	<i>114,590</i>
Natural catastrophe risk RCA	<i>57,835</i>	<i>44,447</i>
Man-made non-systemic catastrophe risk RCA	-	-
Man-made systemic catastrophe risk RCA	<i>857</i>	<i>824</i>
Mortgage insurance risk RCA	-	-
Diversification benefits within general insurance risk	<i>(34,457)</i>	<i>(26,993)</i>
Counterparty default and other risk RCA	<i>74,516</i>	<i>23,129</i>
Diversification benefits among risk modules	<i>(213,853)</i>	<i>(134,197)</i>
Operational risk RCA	<i>29,765</i>	<i>27,049</i>
Adjustment for loss absorbing capacity cap	-	-
Adjustment for tax effect	<i>(73,038)</i>	<i>(34,806)</i>
Any other items which the IA may specify to adjust	-	-
Prescribed capital amount	<i>386,916</i>	<i>329,648</i>

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 December 2025	As at 31 December 2024
Unlimited Tier 1 capital	<i>1,454,911</i>	<i>1,158,281</i>
Limited Tier 1 capital	-	-
Tier 2 capital	<i>78,679</i>	<i>154,190</i>
Capital base	<i>1,533,589</i>	<i>1,312,471</i>

(c) Ratio of capital base to prescribed capital amount

	As at 31 December 2025	As at 31 December 2024
Ratio of capital base to prescribed capital amount	396%	398%

(d) Material change or other commentary on prescribed capital amount, capital base, and ratio of capital base to prescribed capital amount (if any)

The Prescribed Capital Amount (PCA) is determined by aggregating the Risk Capital Amounts (RCA) for each risk category, after allowing for diversification benefits and applicable regulatory adjustments.

PCA requirements increased across both General and Long-Term Business. While capital requirements increased, the growth in available capital largely offset the impact, maintaining a stable ratio of capital base to prescribed capital amount.

8 Risk Management

(a) Risk appetite and risk governance framework

The Branch adopts a three lines of defense approach to risk management. Risk takers and owners form the first line, and are typically client managers, underwriters and claim handlers who together with their senior managers are ultimately accountable for their business results. The first line identifies, assesses, mitigates, accepts and manages risks. The second line independently assesses and monitors risks, and provides challenge to the first line. The second line involves risk management personnel of the Branch, Regional Offices and also the Head Office Internal Integrated Risk Management function. The third line is internal audit, and independently verifies if risk controls are effective.

In addition to internal risk management, the Branch enforces its general risk management philosophy on its clients via the reinsurance agreement, which limits the risks that the clients can write and in what manner it is written. To ensure that the appropriate risk management practices are being followed, clients are selectively audited for their underwriting and claims practices.

Similarly, Head Office will limit the risks that the Branch can write and in what manner they are written. The Branch is guided by mandate limits, risk management policies and guidelines established by its Head Office which set out its overall business strategies, tolerance of risk and its general risk management philosophy. To facilitate the task of monitoring these exposures, established Head Office processes are in place supplemented by Regional Office oversight and monitoring. Regular reviews are undertaken by the Head Office to ensure that policies and guidelines are adhered to. The Branch has also prepared its Own Risk and Solvency Assessment (“ORSA”).

(b) Insurance risk management

The risk management objectives and policies for mitigating insurance risks are prescribed by the Head Office and the risk management work instruction of the Branch. The responsibility for systematic handling of risks lies with the functional risk managers in accordance with the Head Office business mandates. Processes, tools and systems are in place to measure, assess risks and to identify, avert and protect against potential hazards.

The level of risks undertaken by the Branch is closely monitored. This includes fluctuations, changes in trend related to existing business, and risks arising from newly acquired business. The impact on capital requirements are assessed frequently for both reporting and planning purposes.

The risk appetite defined by the Head Office's Board of Management is reflected in the Branch's planning and integrated into the management of its operations. In the event of capacity shortages or conflicts with the systems of limits and rules, there are fixed escalation and decision-making processes which ensure that business interests and risk management aspects are reconciled. If necessary, risks are ceded by means of retrocession.

The implementation of risk management at an operational level by the first line embraces the identification, measurement, analysis and assessment of risks, and the resultant risk reporting, limitation and monitoring, which enables the Head Office/Branch/Regional office to monitor all significant risks closely.

Life and Health business

The main risks that the Branch is exposed to are, as follows:

- Mortality risk – risk of loss arising due to the incidence of policyholder death being different than expected;
- Morbidity risk – risk of loss arising due to policyholder health experience being different than expected;
- Expense risk – risk of loss arising from expense experience being different than expected;

The risk exposure is mitigated by diversification across the portfolios of reinsurance contracts. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of outwards reinsurance arrangements.

Pricing for life reinsurance business takes into account the underlying risks being reinsured, the cedant Branch and their ability to manage the risk, the market environment and other factors. The best estimates for the key risks reinsured on traditional reinsurance treaties (mortality, morbidity, etc) are updated on a regular basis and are country specific. The update of the best estimates will take into account the experience of the reinsured portfolio as well

as the larger environment. Pricing targets are set to ensure an adequate reward for taking on the risk.

Non-life business

For non-life reinsurance contracts, the most significant risks arise from premium and reserve risks and other underlying risk factors which may affect these risks such as natural catastrophe and terrorist activities. For longer tail claims that take some years to settle, there is also inflation risk.

The objective of the Branch is to ensure that sufficient reserves are available to cover the liabilities associated with these insurance and reinsurance contracts that it issues.

The risk exposure is mitigated by diversification across the portfolios of insurance contracts. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, rigorous pricing processes, as well as the use of reinsurance arrangements.

Furthermore, strict claim review policies to assess all new and ongoing claims, regular detailed review of claims handling procedures and frequent investigation of possible fraudulent claims are established to reduce the risk exposure of the Branch.

The Branch further enforces a policy of actively managing and promptly settling claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the business. Inflation risk is mitigated by taking expected inflation into account when estimating insurance contract liabilities and pricing appropriately.

(c) **Investment risk management**

Investment risk primarily comprises market risk, including interest rate risk, and credit risk.

The Branch's objective in managing investment risk is to maintain market risk exposures within acceptable parameters while optimising risk-adjusted returns. This is achieved through a comprehensive asset-liability management ("ALM") framework, which takes into account the key characteristics of underwriting and other liabilities when structuring the investment portfolio. Risks are assessed not only on an absolute basis but also in relation to corresponding changes in the value of liabilities.

Interest rate risk arises from potential changes in the value of assets and liabilities resulting from movements in market interest rates. Overall, the Branch's exposure to interest rate risk is limited. The interest rate exposure is continuously monitored, and interest rate sensitivities are performed on a regular basis. With this monitoring, the Branch ensures that the net exposure is kept to an acceptable level.

Credit risk primarily arises from cash and cash equivalents, reinsurance premiums receivable and debt securities.

Cash and cash equivalents are placed with regulated and authorised financial institutions in Hong Kong, resulting in low level of credit risk. While investment portfolio includes both government bonds and corporate bonds with credit quality being monitored by the Group Investment function and credit risk is assessed to be insignificant.

For reinsurance premiums receivable, individual credit evaluations are performed on major cedants and retrocessionaires, particularly where receivables remain outstanding beyond certain period. This helps ensure that potential credit exposures are identified and managed in a timely manner.

(d) **Other risk management**

Operational risk refers to the risk of loss resulting from inadequate or failed internal processes, systems failures or human performance failures or from external events.

The Branch seeks to minimize exposure by ensuring appropriate internal controls and systems, together with trained and competent people are in place throughout the Branch and Regional Office. Controls include the effective segregation of duties, access controls, do-er-checks, including the use of internal audit. The Branch uses an established program of operational risk and control self-assessments to monitor and assess inherent operational risk and the effectiveness of internal controls.

9 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company);
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Public Disclosure) Rules and the Insurance (Valuation and Capital) Rules (subject to any variation or relaxation applied thereto);
- (iii) I am satisfied that the information in this disclosure statement can be reconciled with the relevant specified annual forms, on each of which an auditor's report is provided, of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)'s annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4(1) of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company) has complied with all capital requirements that apply to it under the Insurance (Valuation and Capital) Rules (as relaxed or varied, if applicable), during the financial year to which this disclosure statement relates.

Name:	Steve Luqun Zhang
Position:	CEO
Company Name:	Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)